Hearthline Goods: Sales & Customer Review

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Executive summary

Hearthline Goods grew net revenue 18% to $887K in FY26, but growth faded through the year, and the store relies on customers who rarely come back. The next stage of growth should come from repeat buyers, not more paid acquisition.

The review answers three questions from the owner: how the business performed over two fiscal years, which products and channels actually make money, and where to focus to grow repeat customers.

What we found

- **Growth is real but slowing.** FY26 revenue rose 18% on 22% more customers, with gross margin steady at 60%. August and September FY26 came in 4–6% below the same months a year earlier.
- **The biggest channel brings the least loyal customers.** Paid Social supplies 30% of new customers, but only 20% of them order again. Email/Referral customers re-order 62% of the time and are worth 1.7 times as much.
- **A quarter of revenue sits with customers who have gone quiet.** The At-risk segment is 16% of customers and 26% of all revenue.
- **Holiday buyers don't return.** Only 27% of the December 2024 cohort re-ordered within a year, against about 40% for most months.
- **Discounts cost margin and buy no loyalty.** A 25% code cuts gross margin from 61.5% to 48.6%.

Top three actions

1. Move budget from Paid Social toward Email/Referral and Organic Search.
2. Run a win-back campaign for the At-risk segment.
3. Keep discount codes to Black Friday and the holidays.

Data and approach

The analysis covers 31,364 order lines from 18,404 orders placed by 12,039 customers between 1 October 2024 and 30 September 2026. The store's fiscal year runs October to September, so FY25 is Oct 2024–Sep 2025 and FY26 is Oct 2025–Sep 2026.

Each order line carries the product, category, price, unit cost, discount, a returned flag, the customer's region and the channel that first brought the customer in. The data had no missing values, duplicates or invalid prices.

Question	Method
How did the year go?	FY25 vs FY26 KPIs and monthly revenue by fiscal month
What makes money?	Revenue, gross margin after returns and return rate by category and product
Which channels work?	Repeat rate and lifetime revenue per customer by acquisition channel
Who are the customers?	RFM scoring (recency, frequency, monetary value) into six segments
Who comes back?	Monthly cohort retention and 12-month re-order rate
Do discounts pay?	Margin, order value and repeat rate by discount level

All work was done in Python with pandas and matplotlib. Revenue figures are net of discounts. Margin and "kept revenue" exclude returned items.

Performance, FY25 vs FY26

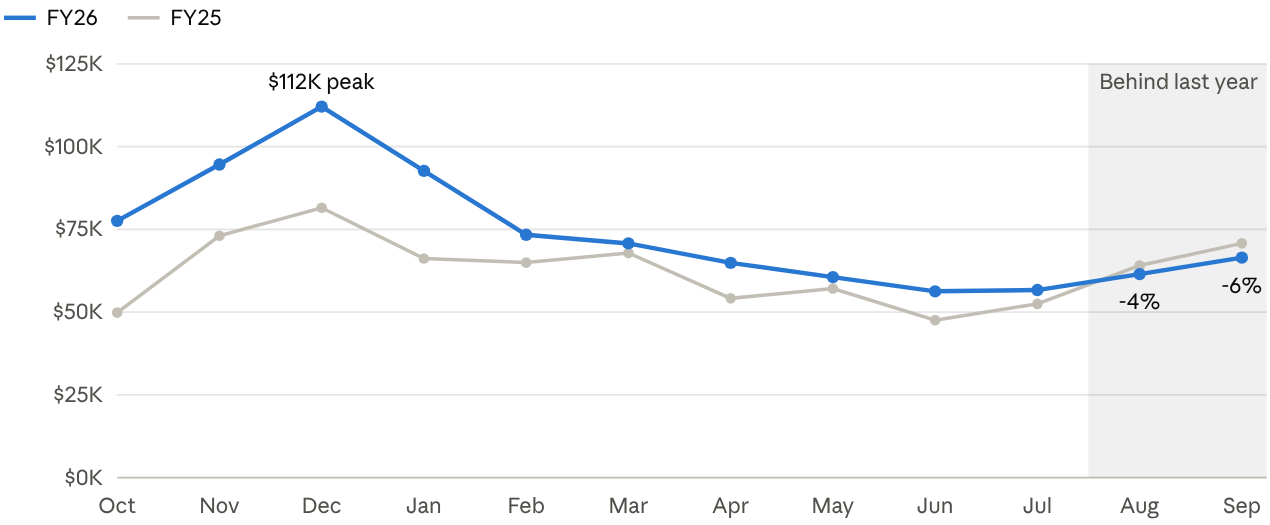
Revenue grew 18% because more customers bought, not because each order got bigger. Average order value slipped 2%, while margin, returns and discount use held steady.

Measure	FY25	FY26	Change
Net revenue	$749.4K	$887.1K	+18.4%

Measure	FY25	FY26	Change
Orders	8,334	10,070	+20.8%
Customers	5,747	7,008	+21.9%
Average order value	$89.92	$88.09	−2.0%
Gross margin, after returns	60.0%	60.0%	0.0 pts
Returns, % of revenue	5.0%	4.9%	−0.1 pts
Discounted orders	24.6%	25.0%	+0.4 pts

FY26 led FY25 for ten months, then fell behind in August and September

Net revenue by fiscal month, $K. FY26 total up 18% on FY25.



orders.csv · net revenue by month, Oct 2024 – Sep 2026

Most of the year's gain came in October through January. November and December brought in 23% of FY26 revenue, and June was the slowest month in both years. The dip below last year in August and September is the first sign to watch going into the holidays.

Products and categories

Cookware brings in the most revenue but earns the thinnest margin. Kitchen Tools and Storage keep the most of every dollar, and Tableware loses the most to returns.

Category	Net revenue	Share of revenue	Gross margin	Returns, % of revenue
Cookware	$591.8K	36.2%	55.5%	5.0%
Tableware	$288.9K	17.7%	60.5%	8.6%
Coffee & Tea	$280.8K	17.2%	60.1%	4.0%
Kitchen Tools	$280.4K	17.1%	65.7%	3.3%
Storage	$194.6K	11.9%	64.1%	3.2%

The catalog is concentrated: 12 of 20 products make up 80% of revenue. The top three are all Cookware or Kitchen Tools: the Nonstick Pan Set ($210K), the Dutch Oven ($174K) and the Chef's Knife ($150K). Tableware's return rate is almost double the store average, which suggests a product-page or packaging problem rather than a demand problem.

Marketing channels

The channels that bring the most customers bring the least valuable ones. Paid Social is the largest source of new customers, but its customers spend $110 on average over their lifetime, against $186 for Email/Referral.

Acquisition channel	Share of new customers	Ordered again	Orders per customer	Revenue per customer
Email/Referral	13.7%	61.7%	2.08	$186
Organic Search	28.3%	46.5%	1.70	$151
Paid Search	20.1%	35.6%	1.47	$132
Paid Social	29.6%	20.5%	1.25	$110
Marketplace	8.2%	14.2%	1.16	$104

The data has no ad spend, so this is a comparison of customer value, not return on ad spend. Even so, every Paid Social customer would need to cost about 40% less than an Email/Referral customer just to break even on the difference in what they spend.

Customer segments

The At-risk segment is the clearest opportunity: 16% of customers who together brought in 26% of all revenue, but who last ordered about 16 months ago.

Each customer was scored 1–4 on how recently they ordered, how often, and how much they spent, as of 30 September 2026. The scores were then grouped into six segments.

Segment	Who they are	Customers	Share of customers	Share of revenue	Avg orders	Avg spend	Days since last order
Champions	Recent, 3+ orders	899	7.5%	16.6%	3.4	$303	149
Loyal	Recent, 2 orders	1,484	12.3%	16.4%	2.0	$181	160
At risk	2+ orders, not recent	1,953	16.2%	25.5%	2.4	$214	489
Promising	Fairly recent, 1 order	1,928	16.0%	10.4%	1.0	$88	256
New	Very recent, 1 order	1,746	14.5%	9.2%	1.0	$87	71
Lapsed	Not recent, 1 order	4,029	33.5%	21.8%	1.0	$89	533

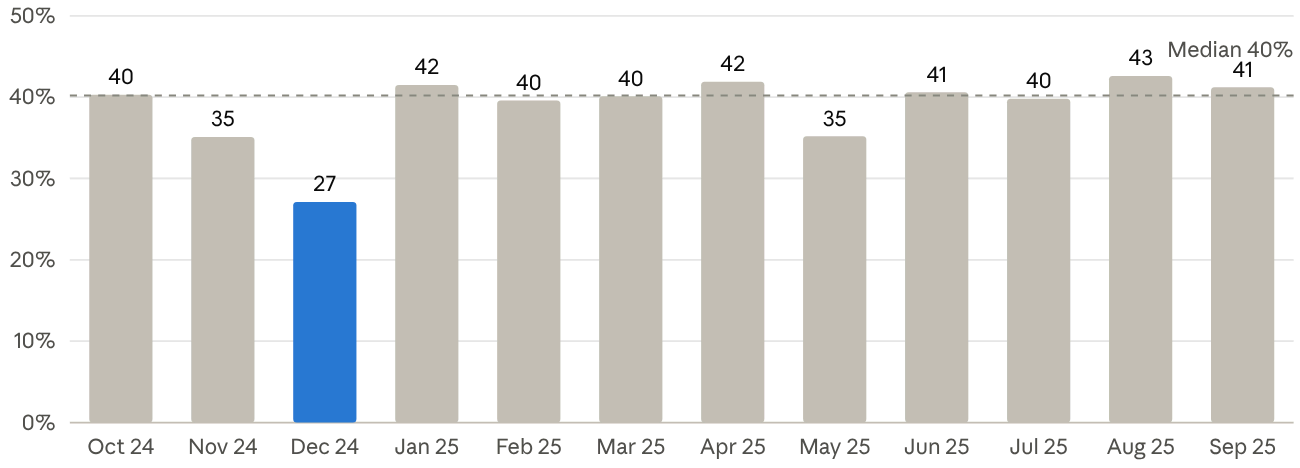
Champions and Loyal customers make up a fifth of the base and a third of revenue. A third of all customers bought once and never returned.

Retention by cohort

About 40% of a typical cohort orders again within a year, but only 27% of December 2024's first-time buyers did. Customers were grouped by the month of their first order, and FY25 cohorts were used so each has a full year of history.

December buyers came back far less than any other cohort

Share of each first-order cohort that ordered again within 12 months, %



orders.csv · FY25 first-order cohorts, each followed for 12 months

November and December bring in more new customers than any other months, so their low return rates are costly. Many are gift buyers shopping once. November and May, the Black Friday and Mother's Day months, show the same pattern on a smaller scale. Month by month, 10–15% of a cohort re-orders in its first month after purchase, falling to about 1% by month 12.

Discounts

Every step of discount costs margin, and none of it buys loyalty. A 25% code cuts gross margin from 61.5% to 48.6%, and discounted orders are smaller, not larger.

Discount	Share of orders	Average order	Gross margin
None	75.1%	$92.70	61.5%
10% off	8.6%	$82.94	57.3%
15% off	7.5%	$79.11	54.6%
20% off	5.0%	$73.95	52.1%
25% off	3.7%	$66.57	48.6%

Customers whose first order used a discount were slightly less likely to come back than full-price buyers: 34.0% against 36.7%. A quarter of all orders carry a discount, so tightening codes outside Black Friday is the quickest margin gain available.

Recommendations

Six actions, in order of expected impact. Each one comes with the measure that shows whether it is working.

#	Action	Why	Measure of success
1	Move part of the Paid Social budget to Email/Referral and Organic Search	Paid Social customers re-order 21% of the time, Email/Referral 62%	Revenue per new customer, by channel
2	Run a win-back email series for the At-risk segment	1,953 repeat buyers who hold 26% of revenue have not ordered in about 16 months	Share of At-risk customers who order within 60 days
3	Keep discount codes to Black Friday and the holidays	A quarter of orders are discounted, and a 25% code cuts margin by 13 points	Gross margin and share of discounted orders
4	Send holiday buyers a January re-engagement offer	Only 27% of December buyers return within a year, against about 40% normally	12-month re-order rate of the Nov–Dec cohorts
5	Cut Tableware returns with better photos, size notes and packaging	Tableware returns 8.6% of revenue, almost double the store average	Tableware return rate
6	Review repeat rate by channel every month	It is the earliest sign of whether growth will last	90-day repeat rate by channel

The slowdown in August and September makes the first two actions urgent. Both lift revenue from customers the store already has, before the holiday peak.

Limitations

- **Fictional data.** Hearthline Goods is not a real store. The orders were simulated to behave like a real direct-to-consumer business, for portfolio purposes.
- **No marketing spend.** Channels are compared on what their customers spend, not on return on ad spend. Adding cost per acquisition would turn the channel table into a profitability ranking.
- **Returns are counted in full.** A returned item is treated as zero revenue and zero profit, ignoring restocking fees and shipping costs.
- **Recent customers have less history.** Customers acquired in FY26 have had less time to re-order, so all-time repeat rates understate their eventual value.

The full analysis, code and an interactive dashboard accompany this report.